MONOTARO CO LTD MONOY

August 14, 2026 - 11:22am EST
by Par03

			2026	2027
Price:	11.67	EPS	0	0
Shares Out. (in M):	492	P/E	25x	22x
Market Cap (in $M):	5,400	P/FCF	0	0
Net Debt (in $M):	215	EBIT	0	0
TEV (in $M):	5,615	TEV/EBIT	0	0

Description

Elevator Pitch

I am recommending a long position in MonotaRO (US ADR is MONOY – you can also own the Japanese shares under ticker 3064 JT).

MonotaRO is a Japanese MRO distributor with a track record of steadily gaining market share. They generate ROICs above 30%. In recent years their earnings algorithm has been ~10% customer growth, ~15% sales growth, and ~15-20% EPS growth. They have ~3-4% share of their addressable market, so I expect there is a long runway for continued growth.

At 22x consensus 2027 earnings (much lower than where it's traded for most of the last decade), I think MonotaRO is a good value. MonotaRO is faster growing yet trades at a discount to US peers Fastenal and WW Grainger.

There isn't anything particularly clever about this pitch. There are no near-term positive catalysts I'm aware of. Over the next few months (MonotaRO reports sales on a monthly basis), sales growth is likely to modestly decelerate (they benefitted from some demand pull forward and price inflation as a result of the war in Iran).

But over the medium and long-run, I expect that MonotaRO will continue to compound earnings at an above-market rate, leading to good absolute and relative returns.

Company Description

MonotaRO is a Japanese distributor of primarily Maintenance, Repair, and Operations (MRO) supplies. Mostly small and medium sized businesses order from MonotaRO's website, which has a selection of ~29 million SKUs (~730 thousand of which are available for same-day delivery). MonotaRO has its own network of warehouses but uses third parties for last mile delivery to the customer. Notable competitors include Amazon Business, Askul, Misumi, and a long tail of smaller MRO distributors.

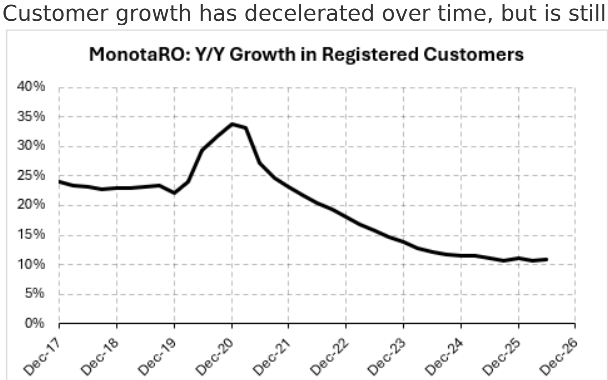
MonotaRO was originally formed in 2000 as a joint venture between US MRO distributor WW Grainger and Sumitomo. MonotaRO IPO'd in 2006, and since 2009, it's has been majority-owned (ranging from 50-53%) by WW Grainger.

Because of Grainger's influence, MonotaRO seems to be run in a more shareholder-friendly manner than many Japanese companies. Although they are always conservatively levered, management doesn't let cash build up too much before returning it to shareholders in the form of dividends or repurchases. The business is relatively simple – their Japanese operations make up 97% of sales, with the remaining 3% coming from some small subsidiaries in Korea, Indonesia, and India.

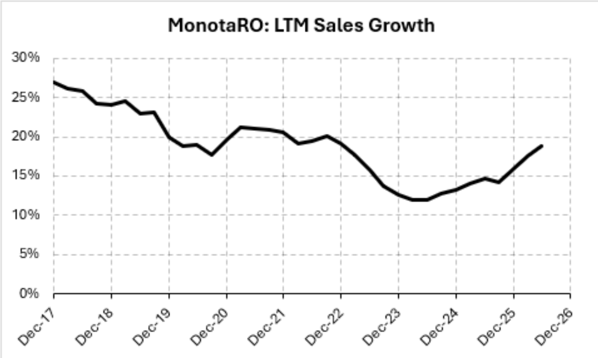
Track Record of High Growth and High Returns

The crux of the investment thesis is that MonotaRO is a really successful distributor with a long runway for future growth.

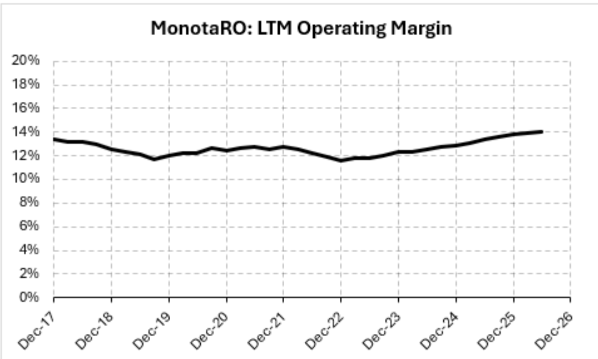
Customer growth has decelerated over time, but is still ~10%:



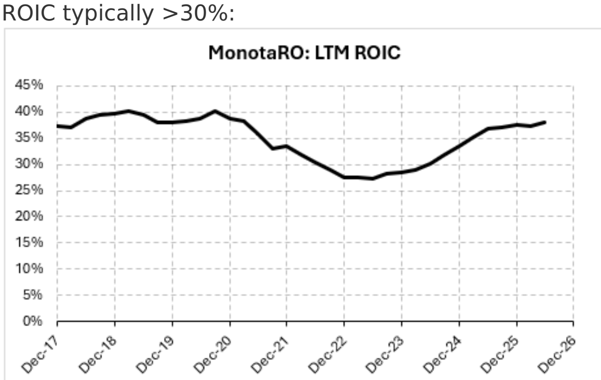
Sales growth tends to be in the teens:



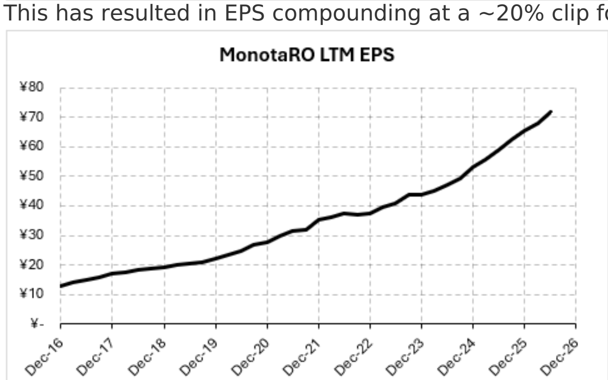
Operating margins tend to be quite stable:



ROIC typically >30%:



This has resulted in EPS compounding at a ~20% clip for many years:

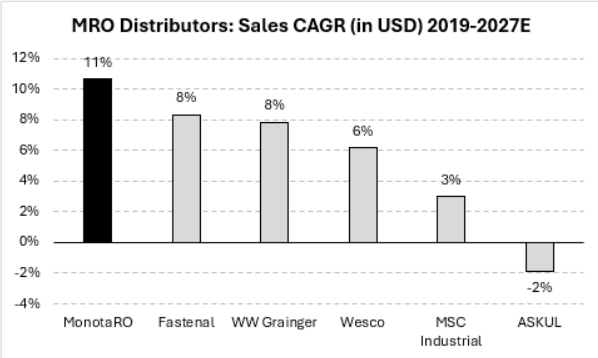


MonotaRO management estimates they currently have ~3-4% share in their addressable market – so there should be a long runway for continued share gains.

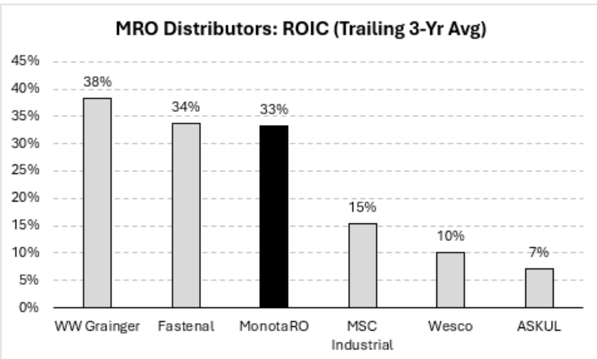
Valuation Undemanding Relative to Peers

MonotaRO currently trades at 22x consensus 2027 earnings. For a company with organic top-line growth in the teens, ROICs above 30%, and EPS growth in the high teens, I think that's good value.

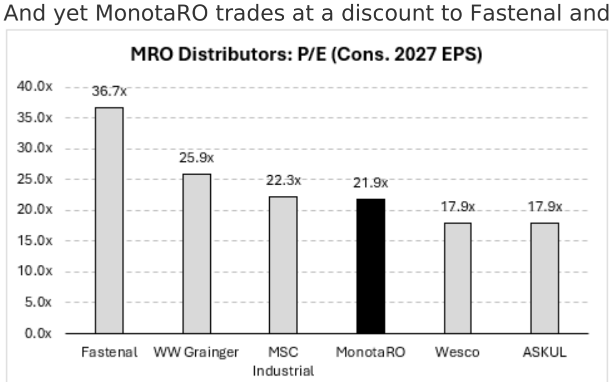
Relative to other MRO distributors, MonotaRO is faster-growing:



With ROIC near the high end of peers:



And yet MonotaRO trades at a discount to Fastenal and WW Grainger:



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Catalyst

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Messages

No messages